Unit 2 | complete visual revision

Pearson Edexcel IAL Business • WBS12 • Definitions, diagrams, calculations and developed evaluation

2.3.1 Planning a business and raising finance

Business plans • funding sources/methods • ownership • liability

2.3.2 Financial planning

Sales/costs • forecasts • break-even • cash flow • budgets

2.3.3 Managing finance

Profitability • liquidity • working capital • business failure

2.3.4 Resource management

Production • productivity • capacity • inventory • quality

2.3.5 External influences

Economic conditions • legislation • competitive responses

BLUE: knowledge and evidence GREEN: benefits PINK: drawbacks PURPLE: judgement

Independent, illustrative examples. Designed for Grade A preparation alongside case-specific examination practice.

How to revise towards Grade A

Accurate knowledge + applied mechanisms + balanced, supported judgement

Build the answer with PECAN

Point: select a relevant effect.

Explain + chain: show how and why it changes performance.

Application: use the case numbers, customer, product or constraint throughout.

Now judge: weigh the effect against the alternative and conditions.

Use a broad range of mechanisms

Consider cash timing and affordability; contribution and profit; demand and competitor responses; capacity and quality; skills, workload and retention; suppliers, customers and reputation.

Choose distinct, relevant arguments. A list of categories is not analysis.

Calculate, interpret, challenge

Show formula → substitution → result with units.

Explain what the result means for this firm.

Test a plausible changed assumption and compare options.

Do not equate revenue, profit, contribution and cash.

Make the conclusion earn its place

State which option is preferable and why one effect matters most in this case.

Use time, scale, cash headroom, demand evidence and reversibility.

State what would change the recommendation. More points do not automatically earn higher marks.

2.3.1 | Planning a business and raising finance

SECTION MAP • Know the concept, explain its business mechanism, test the choice

Topic 1

Business plan content • Using and reviewing a plan

Topic 2

Owner's savings • Retained profit • Sale of assets

Topic 3

Family, friends and banks • Peer-to-peer and crowdfunding • Angels and other businesses • Loans and overdrafts • Share and venture capital • Leasing, trade credit and grants

Topic 4

Sole trader and partnership • Private limited company • Franchising • Social, lifestyle and online businesses • PLC and stock market flotation

Topic 5

Limited and unlimited liability • Matching finance to ownership

Connect finance, operations and the external environment. A theoretically attractive option can fail if cash, people or delivery capacity are missing.

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.1a Business plan content

A business plan sets out the proposed business, objectives and how they will be achieved. Include product, target customers, market research, competitors, ownership, marketing, operations, staffing, finance sources, sales/cash forecasts and risks.

Benefits / uses

Links market demand to capacity, staffing and funding; exposes inconsistent assumptions before money is committed.

Drawbacks / challenges

Research and forecasts take time; an attractive document can disguise weak evidence or unrealistic demand.

Judgement

Check whether the forecast is credible and resources are available; presentation quality is not commercial viability.

A bakery forecasts 200 orders daily → **checks oven capacity** → **identifies a funding gap** → **revises launch scale.**

2.3.1.1b Using and reviewing a plan

Planning tests feasibility, communicates the proposal to lenders/investors and gives managers targets against which to review progress.

Benefits / uses

A lender can assess repayment capacity; founders coordinate actions and identify contingency needs.

Drawbacks / challenges

Plans become outdated when rivals or costs change; rigid adherence can delay a necessary response.

Judgement

Review assumptions regularly; a small experimental venture may benefit from a shorter, frequently updated plan.

Forecast cash deficit → **arrange funding early** → **avoid missed supplier payments** → **protect continuity.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.2a Owner's savings

Personal savings are funds contributed by the owner. They are internal finance and may be recorded as owner capital.

Benefits / uses

No contractual interest or lender repayment; owner retains decision control.

Drawbacks / challenges

Limited by personal wealth; concentrates financial risk and sacrifices personal alternatives.

Judgement

Keep a contingency reserve; using every available pound leaves no protection against weak opening sales.

Invest savings in equipment → **avoid interest outflows** → **reduce early cash pressure** → **improve survival prospects.**

2.3.1.2b Retained profit

Retained profit is accumulated profit kept in the business rather than distributed to owners. It is not necessarily cash sitting in the bank.

Benefits / uses

Avoids interest and new shareholder dilution; can fund gradual expansion.

Drawbacks / challenges

Unavailable to a new/loss-making firm; owners lose distributions and funds have an opportunity cost.

Judgement

Check cash availability and expected return; profits may already be tied up in inventory and receivables.

Retain earnings → **fund a second oven** → **increase capacity without new debt** → **preserve borrowing headroom.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.2c Sale of assets

Selling an owned asset releases funds. Disposal of genuinely surplus assets differs from selling productive capacity.

Benefits / uses

Raises cash without new borrowing; removes maintenance/storage costs of idle equipment.

Drawbacks / challenges

One-off and limited; selling useful assets can reduce future output, while sale-and-leaseback creates rental commitments.

Judgement

Compare proceeds with lost capability and replacement costs; an urgent sale may achieve a poor price.

Sell unused delivery van → **receive cash** → **clear overdue suppliers** → **stabilise operations.**

2.3.1.3a Family, friends and banks

Finance providers supply funds. Family/friends may lend or invest; banks assess risk and provide products such as loans and overdrafts.

Benefits / uses

Personal networks may offer flexible terms; banks can provide substantial funds and professional payment services.

Drawbacks / challenges

Family disputes can damage relationships; banks may demand security, evidence and regular payments.

Judgement

Distinguish who provides funds from the method used; flexibility depends on the actual agreement.

A signed family loan clarifies repayment → **reduces disagreement** → **supports launch while protecting relationships.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.3a Peer-to-peer and crowdfunding

Peer-to-peer platforms connect borrowers with lenders. Crowdfunding collects small contributions from many people through a platform: donation, reward, loan or equity forms differ.

Benefits / uses

Access beyond traditional banks; a campaign can demonstrate customer interest and publicise the offer.

Drawbacks / challenges

Fees, disclosure and campaign effort; failure to reach a target or deliver rewards damages trust. Debt still requires repayment.

Judgement

Specify the funding type before evaluating cost, ownership or repayment; crowdfunding is not automatically free finance.

Pre-orders fund a prototype → **evidence of demand attracts attention** → **production begins** → **delivery obligations arise.**

2.3.1.3a Angels and other businesses

Business angels invest their own money, often with expertise. Other firms may invest, lend or provide supplier/customer funding.

Benefits / uses

An angel adds contacts and mentoring; a strategic partner can provide market or distribution access.

Drawbacks / challenges

Equity can dilute control; a corporate funder's priorities or exclusivity may restrict future choices.

Judgement

Assess strategic fit, influence and exit expectations alongside the money offered.

Investor funds and advises a startup → **improves supplier access** → **reduces launch mistakes** → **supports growth.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.3b Loans and overdrafts

A loan provides an agreed sum repaid over a term, usually with interest. An overdraft permits spending beyond the current-account balance up to an agreed limit.

Benefits / uses

Loans match long-lived assets with planned repayments; overdrafts cover temporary timing gaps and interest usually applies to funds used.

Drawbacks / challenges

Loans require payments despite weak sales; overdrafts can be expensive and reviewed or withdrawn subject to terms.

Judgement

Use stable long-term finance for lasting needs; persistent overdraft reliance may reveal an underlying cash problem.

Customer pays late → **short overdraft funds wages** → **customer receipt clears balance** → **trading continues.**

2.3.1.3b Share and venture capital

Share capital is equity raised by selling ownership stakes. Venture capital is equity investment in firms with high growth potential, often with active investor oversight.

Benefits / uses

No scheduled loan interest or principal repayment; investors may supply expertise and further funding.

Drawbacks / challenges

Ownership and profits are shared; venture investors may demand influence, rapid growth and an exit.

Judgement

Compare retained control with funding scale and risk absorption; dividends are not guaranteed fixed interest payments.

New equity funds software development → **no immediate debt service** → **more cash available during development** → **longer runway.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.3b Leasing, trade credit and grants

Leasing pays for use of an asset without buying it outright. Trade credit delays payment to suppliers. Grants provide support subject to eligibility and conditions.

Benefits / uses

Leasing reduces upfront cash needs; credit aligns input payments with receipts; grants may avoid repayment if conditions are met.

Drawbacks / challenges

Lease payments may exceed purchase cost over time; credit can lose discounts or damage supply if unpaid; grants are restricted and uncertain.

Judgement

Compare total cost, duration, ownership and conditions. Trade credit is a liability, not additional profit.

Lease a machine → **preserve launch cash** → **cover wages and inventory** → **begin production sooner.**

2.3.1.4a Sole trader and partnership

A sole trader has one owner. A conventional partnership has two or more owners sharing a business under an agreement; ordinary partners generally have unlimited liability.

Benefits / uses

Sole traders retain control and profit; partners pool capital, skills and workload.

Drawbacks / challenges

Sole traders face limited finance and key-person dependence; partners may disagree and share profits and responsibility.

Judgement

Choose for scale, risk and complementary skills; a written partnership agreement clarifies authority and profit sharing.

Two skilled founders combine savings → **broaden service range** → **attract more clients** → **share workload.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.4a Private limited company

An Ltd is a separate legal entity owned by shareholders. Shares are privately held and are not offered to the general public on a stock exchange.

Benefits / uses

Limited liability can encourage investment; continuity is less dependent on an individual owner.

Drawbacks / challenges

Administration and reporting costs; share transfers are restricted and new investors can dilute influence.

Judgement

Limited liability does not remove business risk or a director's personal guarantees and misconduct exposure.

Incorporate a growing manufacturer → **separate company debts from shareholders** → **attract investors** → **fund capacity.**

2.3.1.4b Franchising

A franchisee pays to operate using a franchisor's brand and system. The franchisor grants the rights and supplies agreed support.

Benefits / uses

Franchisee gains an established name and training; franchisor expands using franchisees' capital and local effort.

Drawbacks / challenges

Fees and operating restrictions reduce franchisee freedom; inconsistent franchisees can damage the whole brand.

Judgement

Evaluate from the correct party's perspective; an established system lowers some risks but cannot guarantee demand.

Recognised brand attracts opening customers → **reduces awareness-building time** → **earlier sales** → **but royalties reduce margin.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.4b Social, lifestyle and online businesses

A social enterprise trades to pursue social/environmental aims, commonly reinvesting for its mission. A lifestyle business supports an owner's preferred way of life. An online business trades digitally; it is not a legal ownership form.

Benefits / uses

Mission may attract loyal stakeholders; lifestyle offers autonomy; online access expands reach and can reduce premises costs.

Drawbacks / challenges

Mission can constrain distributions; lifestyle goals may limit growth; online firms face fulfilment, security, returns and intense comparison.

Judgement

Distinguish purpose, channel and legal form: a social enterprise or online business can also be an Ltd.

Online specialist reaches distant buyers → **larger accessible market** → **more orders** → **requires dependable fulfilment.**

2.3.1.4c PLC and stock market flotation

A public limited company can offer shares to the public; flotation lists shares for market trading. PLC status and exchange listing are distinct.

Benefits / uses

Access to a larger equity pool; share liquidity may attract investors and support acquisitions.

Drawbacks / challenges

Flotation/adviser and reporting costs; dilution, scrutiny, takeover exposure and short-term shareholder pressure.

Judgement

Compare scale of funding with loss of privacy/control; listing does not guarantee a successful share issue.

Float shares → **finance a national rollout** → **expand capacity** → **face higher expectations for returns.**

2.3.1 | Planning a business and raising finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.1.5a Limited and unlimited liability

Limited liability normally restricts shareholders' loss to their investment/unpaid share commitments. Unlimited liability exposes owners to business debts and potentially personal assets.

Benefits / uses

Limited liability helps spread investment risk; unlimited-liability owners retain direct control and may signal commitment.

Drawbacks / challenges

Limited liability can encourage lender demands for guarantees; unlimited liability creates serious personal financial exposure.

Judgement

The company still owes its debts; limited liability protects shareholders, not the business from insolvency.

Business cannot pay debts → **ordinary sole trader may need personal assets** → **personal wealth at risk** → **caution over borrowing.**

2.3.1.5b Matching finance to ownership

Appropriate finance fits legal form, purpose, amount, duration, cost, risk, collateral and the owner's control preferences.

Benefits / uses

Long-term funding can match asset life; equity absorbs business risk without scheduled repayments.

Drawbacks / challenges

A sole trader cannot issue company shares while retaining sole-trader status; limited firms may still struggle to borrow.

Judgement

Recommend a specific method based on cash generation and control, not legal form alone.

Sole trader needs major equity → **incorporate and admit shareholders** → **raise capital** → **accept shared ownership.**

2.3.2 | Financial planning

SECTION MAP • Know the concept, explain its business mechanism, test the choice

Topic 1

Sales volume and revenue • Fixed, variable, total and average cost • Improving sales and revenue

Topic 2

Why forecast sales? • Forecast drivers • Forecast difficulties

Topic 3

Contribution • Break-even meaning • Break-even calculation • Margin of safety • Reading break-even graphs • Limits of break-even

Topic 4

Building a cash-flow forecast • Using cash forecasts

Topic 5

Budget purposes • Historical and zero-based budgets • Variance analysis • Budget difficulties

Connect finance, operations and the external environment. A theoretically attractive option can fail if cash, people or delivery capacity are missing.

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.1a Sales volume and revenue

Sales volume is units sold in a period. Revenue is income earned from sales: price × quantity. Average selling price = revenue ÷ volume.

Benefits / uses

Separating price and volume identifies why revenue changes; supports staffing and inventory planning.

Drawbacks / challenges

Revenue alone says nothing about costs, cash receipt timing or profitability.

Judgement

Use units and the time period. A sales order or credit sale does not necessarily produce immediate cash.

Price £20 × 4,000 units → **£80,000 revenue** → **compare with costs** → **judge commercial result.**

2.3.2.1b Fixed, variable, total and average cost

Fixed costs do not vary with output within the relevant range/time. Variable costs change with output. TC = FC + total VC; AC = TC ÷ output.

Benefits / uses

Separating cost behaviour supports pricing, break-even and capacity decisions.

Drawbacks / challenges

Fixed costs can step up at new capacity; per-unit variable cost may change with discounts or overtime.

Judgement

Do not confuse total fixed cost with fixed cost per unit; assumptions depend on the output range.

Spread £24,000 fixed costs across more units → **lower fixed cost per unit** → **lower AC** → **potential price flexibility.**

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.1c Improving sales and revenue

Businesses can increase purchases through promotion, distribution, product improvements, repeat buying and carefully chosen prices.

Benefits / uses

Wider access or stronger perceived value can grow demand; repeat sales reduce dependence on new customers.

Drawbacks / challenges

Campaign costs may exceed contribution; discounts can lower revenue if quantity rises too little.

Judgement

Use PED and capacity constraints from Unit 1; higher revenue is useful only if costs and cash remain viable.

Price falls 10% and volume rises 20% → **revenue becomes 0.9 × 1.2 = 108%** → **revenue grows 8%.**

2.3.2.2a Why forecast sales?

A sales forecast estimates future sales volume or revenue for a specified period using available evidence.

Benefits / uses

Guides inventory, staffing, production and cash funding; coordinates departments around expected demand.

Drawbacks / challenges

A precise estimate can create false confidence and cause excess capacity or shortages.

Judgement

Use alternative scenarios and update actual versus forecast; forecasts inform decisions rather than remove uncertainty.

Forecast seasonal peak → **order inputs early** → **secure capacity** → **fulfil demand instead of losing customers.**

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.2b Forecast drivers

Consumer trends change preferences; economic variables change purchasing power/borrowing; competitor actions change alternatives and market share.

Benefits / uses

Combining market research with economic/rival evidence improves relevance; identifies direction of demand shifts.

Drawbacks / challenges

Past trends may break; effects differ by segment and rivals respond strategically.

Judgement

Distinguish industry growth from this firm's sales; a growing market may still contain declining firms.

Competitor launches cheaper substitute → **switching increases** → **forecast volume falls** → **reduce exposed inventory.**

2.3.2.2c Forecast difficulties

Forecast reliability is limited by weak data, new products, volatile tastes, shocks and uncertain competitor behaviour.

Benefits / uses

Sensitivity ranges reveal funding exposure; frequent updates help detect errors early.

Drawbacks / challenges

Small samples, optimistic management and long horizons weaken predictions; forecasts can reinforce bias.

Judgement

A short forecast for repeat purchases is often more reliable than a long forecast for an untested product, all else equal.

Overforecast demand → **buy excess perishables** → **waste increases** → **cash and profit deteriorate.**

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.3a Contribution

Contribution per unit = selling price - variable cost per unit. Total contribution = revenue - total variable costs; it covers fixed costs then profit.

Benefits / uses

Shows how each additional sale contributes; supports break-even and evaluating price/cost changes.

Drawbacks / challenges

Positive contribution does not prove overall profitability or cash availability; capacity and extra fixed costs matter.

Judgement

Use all relevant variable costs and check whether accepting more business changes capacity or fixed costs.

£20 price - £12 VC = £8 contribution → **4,000 units generate £32,000** → **cover £24,000 FC** → **£8,000 profit.**

2.3.2.3b Break-even meaning

Break-even is output where total revenue equals total cost, so neither profit nor loss occurs. Total contribution equals total fixed cost.

Benefits / uses

Identifies minimum sales needed to cover modeled costs; gives a clear sales target.

Drawbacks / challenges

Break-even is based on assumptions and says nothing about when customers pay.

Judgement

Break-even is output, not automatically a payback period or cash balance.

At 3,000 units → **TR £60,000 and TC £60,000** → **profit zero** → **sales above this create profit under assumptions.**

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.3c Break-even calculation

Break-even output = fixed costs ÷ contribution per unit. Round up to a whole unit when products are indivisible.

Benefits / uses

Allows comparison of pricing, rent and input-cost choices; shows the effect of a changed contribution.

Drawbacks / challenges

Meaningless if contribution is zero/negative under positive fixed costs; capacity may make the target impossible.

Judgement

Recalculate with plausible adverse costs and demand rather than relying only on the base case.

£24,000 ÷ £8 = 3,000 units → **compare to 4,000 forecast** → **assess whether launch has headroom.**

2.3.2.3d Margin of safety

Margin of safety = actual or forecast output - break-even output. Percentage MOS = MOS ÷ actual/forecast output × 100.

Benefits / uses

Shows the fall in sales possible before a modeled loss; helps compare exposure.

Drawbacks / challenges

A forecast-based margin inherits forecast error; percentage and unit comparisons can suggest different rankings.

Judgement

State the denominator when expressing a percentage; check whether the forecast is credible.

4,000 - 3,000 = 1,000 units → **25% of forecast** → **a larger fall creates a loss.**

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.3e Reading break-even graphs

A break-even chart plots revenue and costs against output. FC is horizontal; TC starts at FC; TR normally starts at the origin.

Benefits / uses

Visualises profit/loss regions and how cost/price changes move break-even; supports communication.

Drawbacks / challenges

Incorrect scales or line assumptions mislead; a chart cannot establish that units will actually sell.

Judgement

Label axes, money, output, lines, intersection and MOS. Do not draw TC starting at zero when FC is positive.

TR above TC → **profit gap; TR below TC** → **loss gap** → **compare forecast output with intersection** → **identify headroom.**

2.3.2.3f Limits of break-even

Simple analysis assumes constant price and unit variable costs, fixed costs over the modeled range and output sold; multi-product firms require a stable mix.

Benefits / uses

A transparent starting model isolates drivers and supports what-if analysis.

Drawbacks / challenges

Discounts, inventory, seasonal demand, changing product mix and capacity steps alter the result.

Judgement

A lower break-even target is not automatically a better strategy; compare attainable demand and service implications.

Raise price → **modeled break-even falls** → **but customers switch away** → **forecast MOS may shrink rather than improve.**

2.3.2 | Financial planning

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2.3.2.4a Building a cash-flow forecast

A cash-flow forecast estimates cash receipts and payments over time. Net flow = inflows - outflows; closing balance = opening balance + net flow; next opening equals prior closing.

Benefits / uses

Reveals the timing and size of a deficit; helps arrange finance before obligations fall due.

Drawbacks / challenges

Credit sales are received later; non-cash expenses must not be treated as cash payments; forecasts depend on timing.

Judgement

Separate receipts/payments from accounting revenue/expenses; show the opening and closing balances explicitly.

January opening £5k + net outflow £3k = closing £2k → **February opens £2k** → **plan for its next payments.**

2.3.2.4b Using cash forecasts

Forecasts support liquidity planning, payment scheduling and comparison of funding or collection policies.

Benefits / uses

Earlier collection or planned finance can avoid default; scenarios expose the weakest month.

Drawbacks / challenges

Unexpected late payment or cost spikes invalidate estimates; a positive year-end balance can hide a mid-year crisis.

Judgement

Check the lowest monthly balance, reliability of receipts and terms of any proposed finance.

Forecast March deficit → **negotiate a facility before March** → **pay wages on time** → **retain staff and continuity.**

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.5a Budget purposes

A budget is an agreed financial target or plan for a future period, such as sales, expenditure or profit.

Benefits / uses

Allocates scarce resources, coordinates departments and enables control/accountability.

Drawbacks / challenges

Targets can encourage gaming, budget padding and focus on spending limits rather than customer outcomes.

Judgement

Responsibility should match managers' control; distinguish a target budget from a best-estimate forecast.

Set materials budget → **compare actual spending** → **investigate waste** → **correct the production cause.**

2.3.2.5b Historical and zero-based budgets

Historical budgeting adjusts prior figures. Zero-based budgeting requires each proposed activity/cost to be justified afresh.

Benefits / uses

Historical is quick and familiar; zero-based can challenge obsolete spending and realign priorities.

Drawbacks / challenges

Historical perpetuates inefficiency; zero-based needs evidence, time and judgement and may cut useful long-term work.

Judgement

Use stable historical costs where reliable and deeper review where priorities changed; no method removes bias.

Review every campaign from zero → **remove ineffective promotion** → **redirect funds** → **improve contribution.**

2.3.2 | Financial planning

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.2.5c Variance analysis

A variance is the difference between actual and budgeted performance. Favourable improves profit relative to budget; adverse worsens it, holding other factors constant.

Benefits / uses

Directs investigation to significant deviations; reveals price, volume or efficiency problems.

Drawbacks / challenges

A favourable cost variance can reflect undertraining or lower output; managers may not control the cause.

Judgement

State your subtraction convention and F/A label. Revenue above budget is usually F; cost above budget usually A.

Actual material cost exceeds budget → **separate higher output from higher input prices** → **identify cause** → **respond appropriately.**

2.3.2.5d Budget difficulties

Changing costs, uncertain sales, poor information and disagreement make targets hard to set and maintain.

Benefits / uses

Flexible review can improve coordination; consultation adds operational knowledge and ownership.

Drawbacks / challenges

Rigid targets demotivate when unattainable; easy targets waste potential and end-year spending can destroy value.

Judgement

Assess controllability, changing conditions and actual output before blaming a manager for a variance.

Unrealistic sales budget → **excessive inventory** → **weak cash** → **revise assumptions and purchasing.**

2.3.3 | Managing finance

SECTION MAP • Know the concept, explain its business mechanism, test the choice

Topic 1

Three profit measures • Increasing profit • Profitability and income statements

Topic 2

Profit versus cash • Position statement and liquidity • Improving liquidity • Working capital and cash cycle

Topic 3

Internal business failure • External business failure

Connect finance, operations and the external environment. A theoretically attractive option can fail if cash, people or delivery capacity are missing.

2.3.3 | Managing finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.3.1a Three profit measures

Gross profit = revenue - cost of sales. Operating profit = gross profit - operating expenses. Profit for year subtracts finance costs and tax, accounting for any other stated items.

Benefits / uses

Shows which layer is losing value; separates trading, overhead and financing effects.

Drawbacks / challenges

Profits depend on period and accounting treatment; none equals cash receipts.

Judgement

Use the items supplied and label each measure; do not deduct interest twice or confuse purchases with cost of sales.

Revenue £200k - COGS £120k = GP £80k - expenses £50k = OP £30k - interest £4k - tax £5.2k = £20.8k.

2.3.3.1b Increasing profit

Profit can rise through volume, price, product mix or cost improvements. Effects depend on demand, contribution and extra fixed commitments.

Benefits / uses

Waste reduction can improve profit without lowering quality; stronger differentiation can sustain prices.

Drawbacks / challenges

Cost cutting may harm quality or retention; price increases can lose elastic-demand customers.

Judgement

Calculate net effects, including implementation and lost-sales costs, rather than assuming every cut benefits profit.

Reduce waste by £5k → **costs fall at unchanged sales** → **operating profit rises £5k** → **reinvest in reliability.**

2.3.3 | Managing finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.3.1c Profitability and income statements

An income statement reports performance over a period. Gross, operating and net margins = respective profit ÷ revenue × 100.

Benefits / uses

Margins allow comparison across revenue sizes and identify different causes; trend and competitor data strengthen diagnosis.

Drawbacks / challenges

Different mixes or accounting policies limit comparison; a higher margin may accompany lower total profit.

Judgement

Distinguish percentage points from percentage change; combine margins with cash, volume and customer outcomes.

£80k GP ÷ £200k sales = 40% → **£30k OP gives 15%** → **final £20.8k gives 10.4%.**

2.3.3.2a Profit versus cash

Profit is income less expenses under accounting rules. Cash is money available. Credit sales, inventory, capital spending and borrowing create differences.

Benefits / uses

Tracking both avoids mistaking paper profit for ability to pay; clarifies funding needs.

Drawbacks / challenges

A profitable fast-growing firm can run out of cash; borrowing raises cash without being sales profit.

Judgement

Use exact timing: assess receivables, payables and investment rather than calling all profit spendable cash.

Credit sale earns contribution now → **receipt arrives in 60 days** → **wages due earlier** → **profitable firm still faces a cash gap.**

2.3.3 | Managing finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.3.2b Position statement and liquidity

A statement of financial position reports assets, liabilities and equity at a date. Current ratio = CA ÷ CL. Acid test = (CA - inventory) ÷ CL.

Benefits / uses

Shows short-term cover and dependence on selling inventory; comparison helps diagnose funding pressure.

Drawbacks / challenges

Ratios are snapshots; receivables may not pay and inventory may be obsolete. Universal ideal ratios are misleading.

Judgement

A current ratio above one does not guarantee cash when needed; industry norms, quality and timing matter.

CA £80k, inventory £30k, CL £50k → **current 1.6:1; acid 1:1** → **assess collection timing and due dates.**

2.3.3.2b Improving liquidity

Asset sales, better collection, supplier credit, invoice factoring and JIT can release cash or delay payments. Factoring sells receivables to a specialist for a fee.

Benefits / uses

Releases funds tied in assets/receivables; lower inventory reduces storage and cash commitment.

Drawbacks / challenges

Asset sales can cut capacity; factoring fees reduce margin; longer credit can lose discounts; JIT increases supply dependence.

Judgement

Distinguish a temporary timing remedy from resolving persistent losses; check service, supplier and financing effects.

Factor £20k invoices at a 3% fee → **net £19.4k before timing terms** → **pay urgent liabilities** → **sacrifice £600.**

2.3.3 | Managing finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.3.2c Working capital and cash cycle

Working capital = current assets - current liabilities. Managing inventory, receivables, payables and cash controls the operating funding gap.

Benefits / uses

Faster collection and efficient stock reduce funds tied up; supports growth and reliable payments.

Drawbacks / challenges

Too little stock loses sales; harsh credit terms deter buyers; delaying suppliers can disrupt production.

Judgement

Enough working capital depends on the operating cycle and reliability, not simply maximising the number.

Buy inputs → **produce inventory** → **make credit sale** → **collect later; pay suppliers before collection** → **cash funding gap.**

2.3.3.3a Internal business failure

Poor cash management, overestimated sales, overtrading, inventory errors, weak marketing and poor quality can make a firm unable to continue.

Benefits / uses

Early warning indicators enable corrective action; linking causes reveals preventable feedback loops.

Drawbacks / challenges

Symptoms can mask the original cause; emergency cuts may worsen quality, marketing and demand.

Judgement

Growth can cause failure without falling sales; distinguish a solvency/liquidity problem from weak long-run viability.

Sales grow quickly on credit → **buy more inputs and hire** → **cash receipts lag** → **overtrading exhausts funds.**

2.3.3 | Managing finance

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.3.3b External business failure

Market change, rivalry, economic shocks, exchange/interest rates, regulations, suppliers and natural events can threaten survival.

Benefits / uses

Scenario planning, diverse suppliers and liquidity reserves can improve resilience.

Drawbacks / challenges

Protection costs money and cannot remove all shocks; a strong firm may still face an extreme event.

Judgement

Assess dependence, duration, insurance/continuity and ability to adapt; several causes often interact.

Flood stops key supplier → **inputs unavailable** → **production halts** → **revenue falls while fixed payments continue.**

2.3.4 | Resource management

SECTION MAP • Know the concept, explain its business mechanism, test the choice

Topic 1

Job production • Batch production • Flow and cell production • Productivity • Efficiency • Labour versus capital intensity • Short lead-in times

Topic 2

Capacity utilisation • Under- and over-utilisation • Managing utilisation

Topic 3

Reading inventory diagrams • Buffer inventory • Poor inventory control • Just in time • Waste minimisation • Lean competitive advantage

Topic 4

QC, QA and quality circles • Total quality management • Kaizen • Quality as advantage

Connect finance, operations and the external environment. A theoretically attractive option can fail if cash, people or delivery capacity are missing.

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.1a Job production

Job production creates a one-off item or service to a customer's specification, such as a bespoke staircase.

Benefits / uses

Customisation supports differentiation and higher prices; skilled work can motivate employees.

Drawbacks / challenges

High unit labour cost and long lead time; scheduling and quality depend on specialist staff.

Judgement

Best where customers value customisation enough to cover cost; a premium is not guaranteed.

Tailor design to customer → **closer fit** → **fewer direct comparisons** → **potential premium price.**

2.3.4.1a Batch production

Batch production makes groups of similar items before switching to another type; examples include different bread varieties.

Benefits / uses

Balances variety with some scale economies; equipment can serve several products.

Drawbacks / challenges

Changeovers lose time; work-in-progress and stock create storage/cash costs.

Judgement

Larger batches lower setup frequency but increase inventory and obsolescence exposure; demand stability matters.

Group similar orders → **reduce setup frequency** → **spread setup cost** → **lower average cost.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.1a Flow and cell production

Flow uses a continuous sequence for standardised output. Cell production groups people/equipment to complete a product or related family of tasks.

Benefits / uses

Flow supports high volume and low unit cost; cells offer teamwork, ownership and flexibility.

Drawbacks / challenges

Flow needs capital and stable demand and can stop at a bottleneck; cells need training and may duplicate equipment.

Judgement

Match volume/variety, skills, investment and disruption risk; cell production is not simply another name for an assembly line.

Cell resolves defects locally → **less rework** → **faster dependable completion** → **better delivery service.**

2.3.4.1b Productivity

Productivity is output per unit of input per time period. Labour productivity = output ÷ employees or labour hours, consistently defined.

Benefits / uses

Higher good-quality output per input can lower unit cost; capacity and delivery improve without proportional resource growth.

Drawbacks / challenges

Higher gross output may hide rejects, outsourcing or overwork; employee measures omit capital and product complexity.

Judgement

Compare like-for-like time, quality, input scope and mix; output growth alone does not prove productivity improved.

Training reduces errors → **less rework** → **more accepted output per hour** → **lower cost and stronger competitiveness.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.1c Efficiency

Productive efficiency means producing at minimum average cost for the relevant output/conditions. Input use, waste, scale, technology and coordination affect it.

Benefits / uses

Lean processes and fewer defects reduce resource waste; lower costs permit margin or price choices.

Drawbacks / challenges

Speed targets can damage quality; new technology has setup, training and maintenance costs.

Judgement

Productivity and efficiency are related but distinct: more output per worker can still cost more overall.

Reduce material scrap → **less input per saleable unit** → **lower AC** → **margin improves at unchanged price.**

2.3.4.1d Labour versus capital intensity

Labour-intensive production uses a relatively high proportion of labour; capital-intensive uses relatively more machinery/technology.

Benefits / uses

Labour offers adaptable judgement and personal service; capital supports repetition, precision and scale.

Drawbacks / challenges

Labour costs and skill shortages constrain growth; machinery brings high fixed costs and obsolescence risk.

Judgement

Compare demand stability, finance, quality and flexibility; capital intensity is relative, not absence of workers.

Automate stable repetitive task → **reduce labour time per unit** → **lower variable costs** → **higher break-even exposure if fixed cost rises.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.1e Short lead-in times

Lead-in time is the time needed to develop/prepare and bring a product to market or deliver an order, as defined in context.

Benefits / uses

Faster response captures trends and reduces forecast horizon; reliable delivery can win urgent customers.

Drawbacks / challenges

Rushing can cause defects; speeding one stage may just move a bottleneck and raise freight/overtime costs.

Judgement

Assess end-to-end speed with quality and supplier capability; distinguish speed from reliability.

Shorter design-to-launch time → **reach trend while demand is strong** → **fewer markdowns** → **protect margin.**

2.3.4.2a Capacity utilisation

Capacity utilisation = actual output ÷ maximum possible output in the same period × 100. Capacity depends on the specified resources and conditions.

Benefits / uses

Shows spare capacity and how fixed resources are used; supports expansion and scheduling decisions.

Drawbacks / challenges

A percentage hides bottlenecks and quality; maximum theoretical capacity differs from practical sustainable capacity.

Judgement

Define the denominator and period. Values over 100% mean the stated benchmark was exceeded, not a physical impossibility.

8,000 output ÷ 10,000 capacity × 100 = 80% → **2,000 units spare** → **potential to grow without new premises.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.2b Under- and over-utilisation

Under-utilisation leaves capacity unused. Very high utilisation can strain maintenance, staff and delivery resilience.

Benefits / uses

More utilisation spreads fixed costs; some spare capacity provides flexibility for rush orders and breakdowns.

Drawbacks / challenges

Low utilisation raises fixed cost per unit; excessive loading raises defects, overtime, delays and lost customers.

Judgement

There is no universal best percentage; a hospital or customised service may value resilience more than maximum throughput.

Run near full capacity → **no recovery time after breakdown** → **late orders** → **reputation and repeat sales deteriorate.**

2.3.4.2c Managing utilisation

When low: build demand, share/rent spare space, diversify compatible work or reduce capacity. When overloaded: shifts, outsourcing, scheduling, investment or demand management.

Benefits / uses

Matches resources to demand; targeted debottlenecking can improve throughput without a full expansion.

Drawbacks / challenges

Promotions can destroy margin; outsourcing risks quality; investment adds fixed costs and takes time.

Judgement

Temporary peaks call for different responses from persistent growth; compare reversibility and total cost.

Peak demand exceeds capacity → **outsource a controlled component** → **protect on-time delivery** → **monitor quality and supplier dependence.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.3a Reading inventory diagrams

An inventory chart plots stock over time. Usage lowers stock; deliveries raise it. Reorder level triggers an order; lead time is order-to-delivery time; reorder quantity is delivered volume.

Benefits / uses

Shows when to reorder and whether deliveries protect continuity; makes timing assumptions visible.

Drawbacks / challenges

Constant demand and reliable lead time assumptions may fail; a reorder level is not the same as buffer stock.

Judgement

Label stock, time, maximum, buffer, reorder point, delivery and lead time; check actual consumption variability.

Usage 20 units/day × 5-day lead time + 50 buffer → **reorder at 150** → **receipt ideally occurs at 50.**

2.3.4.3b Buffer inventory

Buffer stock is extra inventory held against unexpected demand or supply delays; also called safety inventory.

Benefits / uses

Reduces stockouts and disruption; supports reliable service when supply is uncertain.

Drawbacks / challenges

Ties up working capital and incurs storage, spoilage and obsolescence costs.

Judgement

Choose based on variability, criticality, shelf life and supplier reliability; the cheapest buffer is not necessarily zero.

Delivery two days late → **use buffer** → **production continues** → **protect customer orders.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.3c Poor inventory control

Too much stock ties up cash and creates carrying/waste costs; too little causes lost sales and production stoppages.

Benefits / uses

Accurate records and demand-linked replenishment reduce mismatch; monitoring slow stock frees cash.

Drawbacks / challenges

Systems need reliable data and staff discipline; unexpected shocks can defeat normal rules.

Judgement

The same total inventory can hide missing critical items and excess unwanted ones; examine product-level availability.

Overestimate sales → **excess perishable stock** → **write-offs and cash tied up** → **weaker liquidity.**

2.3.4.3d Just in time

JIT aims to receive inputs and produce goods only as needed, minimising inventory rather than holding large buffers.

Benefits / uses

Releases working capital and reduces storage/waste; exposes process and quality problems.

Drawbacks / challenges

Depends on dependable supply, quality and transport; disruption can stop the whole operation.

Judgement

Assess supplier distance, lead-time variation and disruption costs; JIT is a system, not simply buying less.

Frequent reliable deliveries → **lower stock** → **less cash tied up** → **funds available for other operations.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.3e Waste minimisation

Waste includes defects, waiting, unnecessary transport/motion, overproduction, excess inventory and unnecessary processing.

Benefits / uses

Cuts input, disposal and energy costs; can improve delivery and environmental performance.

Drawbacks / challenges

Improvement effort requires time; reducing visible waste may shift work or costs elsewhere.

Judgement

Measure total resource use and customer value, not just one department's reported savings.

Reduce excess movement → **shorter processing time** → **faster fulfilment** → **more capacity with the same resources.**

2.3.4.3f Lean competitive advantage

Lean production continually removes non-value-adding activity while maintaining customer value and dependable flow.

Benefits / uses

Lower waste can support competitive prices or margins; faster flow and quality support service differentiation.

Drawbacks / challenges

Lean change needs staff engagement and coordination; excessive resource removal can reduce resilience.

Judgement

Sustained advantage depends on implementation and whether rivals can copy it; lean does not mean indiscriminate cuts.

Lower work-in-progress → **shorter cycle** → **faster delivery** → **win time-sensitive customers.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.4a QC, QA and quality circles

Quality control inspects output against standards. Quality assurance builds quality into processes. Quality circles are employee groups discussing improvements.

Benefits / uses

QC detects defects before delivery; QA prevents recurrence; circles use frontline knowledge and involvement.

Drawbacks / challenges

QC discovers problems after resources used; QA needs training/audits; circles fail if managers ignore ideas.

Judgement

QC and QA can complement each other. Evaluate detection, prevention and participation as different mechanisms.

Employees identify recurring setup error → **revise process** → **fewer defects** → **lower rework and better reliability.**

2.3.4.4b Total quality management

TQM is an organisation-wide commitment to quality, continuous improvement and meeting customer needs; everyone is responsible.

Benefits / uses

Consistent cross-department standards reduce repeat failures; customer focus strengthens trust and loyalty.

Drawbacks / challenges

Training, data and cultural change take time; superficial compliance adds bureaucracy without better output.

Judgement

Success depends on leadership and employee behaviour, not merely certificates or a quality slogan.

Sales shares complaint data with production → **root cause fixed** → **service becomes consistent** → **repeat buying improves.**

2.3.4 | Resource management

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.4.4c Kaizen

Kaizen means continuous incremental improvement, often involving employees proposing and testing small changes.

Benefits / uses

Small changes can be low cost and cumulative; staff ownership supports adoption.

Drawbacks / challenges

Many small changes require time and follow-up; incremental work may not solve a fundamental technology gap.

Judgement

Compare cumulative gains with coordination cost; major redesign can still be necessary.

Move tool closer to task → **seconds saved each cycle** → **lower wasted time** → **higher reliable throughput.**

2.3.4.4d Quality as advantage

Quality means meeting agreed specifications and customer expectations consistently. It can reduce failure costs and differentiate an offer.

Benefits / uses

Fewer returns/rework lower cost; trusted reliability supports retention and possibly a premium.

Drawbacks / challenges

Higher prevention/appraisal costs may exceed buyers' willingness to pay; perfection may delay delivery.

Judgement

Quality must fit the target customer and price; expensive materials alone do not establish customer value.

Reliable product → **fewer complaints** → **positive recommendations** → **higher repeat demand and lower acquisition pressure.**

2.3.5 | External influences

SECTION MAP • Know the concept, explain its business mechanism, test the choice

Topic 1

Inflation • Exchange rates • Interest rates • Taxation and government spending • Business cycle

Topic 2

Consumer and employee protection • Environmental, competition and safety rules • Intellectual property

Topic 3

Competitor numbers, size and behaviour • How small firms compete

Connect finance, operations and the external environment. A theoretically attractive option can fail if cash, people or delivery capacity are missing.

2.3.5 | External influences

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.5.1a Inflation

Inflation is a sustained increase in the general price level; it reduces money's purchasing power. A lower inflation rate still means prices rise, just more slowly.

Benefits / uses

Firms with pricing power may protect nominal revenue; fixed-rate debt's real burden may fall.

Drawbacks / challenges

Inputs and wage claims can rise; real customer income falls if pay lags, weakening demand.

Judgement

Respond through sourcing, productivity, mix or pricing; compare input inflation with the firm's own selling-price growth.

Input inflation → **higher unit cost** → **raise price or accept lower margin** → **demand/PED determines the result.**

2.3.5.1a Exchange rates

An exchange rate is one currency's price in another. Appreciation raises its value; depreciation lowers it.

Benefits / uses

Depreciation may make exports cheaper to foreign buyers; appreciation makes imported inputs cheaper in domestic currency.

Drawbacks / challenges

Depreciation raises import costs; appreciation can weaken export competitiveness or domestic-currency export receipts.

Judgement

Quote the direction carefully. Effect depends on contracts, currency invoicing, imported content, demand and pass-through.

£1 rises from $1.20 to $1.50 → **$30k imported input falls from £25k to £20k** → **cost saving £5k.**

2.3.5 | External influences

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.5.1a Interest rates

Interest is the cost of borrowing and return on saving, usually a percentage over a period.

Benefits / uses

Lower rates reduce variable-rate debt service and may support consumer credit purchases and investment.

Drawbacks / challenges

Higher rates increase debt payments and opportunity cost of investment; demand for credit-financed goods may weaken.

Judgement

Fixed-rate borrowers may be insulated initially; distinguish effect on this firm's finance from its customers' demand.

£200k variable loan rises from 5% to 7% → **annual interest rises £4k** → **profit/cash pressure** → **review spending.**

2.3.5.1a Taxation and government spending

Taxes on profits, income, consumption or employment affect different parties. Public spending creates demand and infrastructure/services.

Benefits / uses

Public contracts and infrastructure may create sales opportunities or lower operating friction; tax relief may encourage investment.

Drawbacks / challenges

Profit taxes reduce retained earnings; consumption/payroll taxes can raise prices or labour cost; tax rises can weaken demand.

Judgement

Identify the specific tax, incidence and timeframe. Corporation tax applies to taxable profit, not total revenue.

Infrastructure spending improves transport → **more reliable deliveries** → **lower delay costs** → **stronger competitiveness.**

2.3.5 | External influences

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.5.1a Business cycle

The business cycle describes fluctuations in economic activity: recovery/expansion, peak, slowdown and contraction. Real output distinguishes volume from inflation.

Benefits / uses

Expansion can increase demand and utilisation; downturns can offer cheaper assets or strengthen demand for budget substitutes.

Drawbacks / challenges

Booms create shortages and wage pressure; contractions reduce demand and can expose debt/capacity commitments.

Judgement

Effect depends on YED, customer segment and exports; some firms gain when households trade down.

Recession reduces discretionary spending → **premium sales fall** → **spare capacity grows** → **adapt mix and protect liquidity.**

2.3.5.2a Consumer and employee protection

Consumer protection regulates fair/safe products, accurate information and remedies. Employee protection sets standards such as pay, fair treatment and employment rights.

Benefits / uses

Trust and fair employment can support loyalty, retention and consistent competition.

Drawbacks / challenges

Compliance, training and records cost money; breaches lead to remedies, disputes and reputational damage.

Judgement

Apply the rules stated in the case/jurisdiction. These are business effects, not a country-specific legal guide.

Accurate product information → **fewer misleading sales** → **fewer disputes** → **stronger long-run trust.**

2.3.5 | External influences

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.5.2a Environmental, competition and safety rules

Environmental protection addresses pollution/resource impacts. Competition policy restricts anti-competitive conduct. Health and safety protects people from workplace risks.

Benefits / uses

Safer, cleaner systems can reduce accidents/waste; fair rivalry protects access for smaller firms.

Drawbacks / challenges

Equipment, training and monitoring create costs; merger or conduct restrictions may limit chosen strategies.

Judgement

Separate immediate compliance cost from avoided future harm; enforcement, scale and existing standards affect impact.

Safety training and guarding → **fewer accidents** → **less downtime and absence** → **more dependable output.**

2.3.5.2a Intellectual property

Copyright protects original creative expression; patents protect qualifying inventions for a limited period; trademarks distinguish a business's goods/services.

Benefits / uses

Protection supports returns on innovation and brand building; licensing can generate revenue.

Drawbacks / challenges

Registration/enforcement costs and geographic scope matter; patents require disclosure and competitors may design around them.

Judgement

An idea alone is not automatically patented; distinguish invention, creative work and brand identifiers.

Protect invention → **deter direct copying** → **sustain differentiation** → **improve chance of recovering R&D; cost.**

2.3.5 | External influences

LINKED REVISION CARDS • Each card includes definition, benefits, drawbacks, an applied chain and judgement.

2.3.5.3a Competitor numbers, size and behaviour

Competition is rivalry for customers. Its effects depend on the number of rivals, their resources/scale and their pricing, innovation, promotion and service behaviour.

Benefits / uses

Rivalry encourages efficiency and better offers; underserved needs create differentiation opportunities.

Drawbacks / challenges

Large rivals may spread marketing/costs; aggressive discounting compresses margins and loyalty.

Judgement

Count alone is insufficient: a few powerful rivals can exert more pressure than many distant or differentiated firms.

Large rival cuts price → **customers compare alternatives** → **specialist improves valued service** → **protect niche demand.**

2.3.5.3b How small firms compete

Small firms can use niches, bespoke service, quality, local knowledge, convenience, relationships and rapid decisions rather than matching every rival's scale.

Benefits / uses

Close customer contact identifies needs quickly; flexibility and expertise support loyalty and premiums.

Drawbacks / challenges

Niches may be too small or attract larger entrants; personal service raises costs and key-person dependence.

Judgement

Choose a defensible benefit customers pay for, backed by finance, skills and capacity; a niche is not immunity from rivalry.

Local repair specialist offers same-day advice → **solve urgent needs** → **customers value reliability** → **less direct price comparison.**

Sales and cost lab | build the baseline

Illustrative maker sells one standard product for one month. All output is sold.

Revenue = P × Q; TC = FC + vQ; AC = TC ÷ Q; profit = revenue - TC

Step / measure	Working / result
Sales	£20 × 4,000 = £80,000
Variable / fixed costs	£12 × 4,000 = £48,000; fixed costs £24,000
Total and average cost	£48,000 + £24,000 = £72,000; £72,000 ÷ 4,000 = £18
Profit	£80,000 - £72,000 = £8,000

Read the result

At 4,000 units, each unit costs £18 on average and earns £2 profit on average. Contribution is £8 per unit, not £2.

Benefits / uses

Identifies the source of a change in costs or profit.

Limitations / risks

Assumes the same unit cost, price and fixed-cost range.

Conditional judgement

Check demand and quality before scaling production.

Contribution, break-even and margin of safety

Same monthly example: P £20; v £12; FC £24,000; forecast Q 4,000.

Contribution = £20 - £12 = £8; BE = FC ÷ contribution

Step / measure	Working / result
Break-even output	£24,000 ÷ £8 = 3,000 units
Break-even revenue	3,000 × £20 = £60,000
Margin of safety	4,000 - 3,000 = 1,000 units
Percentage MOS	1,000 ÷ 4,000 × 100 = 25%

Read the result

Forecast volume can fall by 1,000 units before reaching break-even under these assumptions. Sales below 3,000 create a loss.

Benefits / uses

Quantifies a sales cushion and permits what-if comparisons.

Limitations / risks

The cushion is only as credible as forecast demand and cost assumptions.

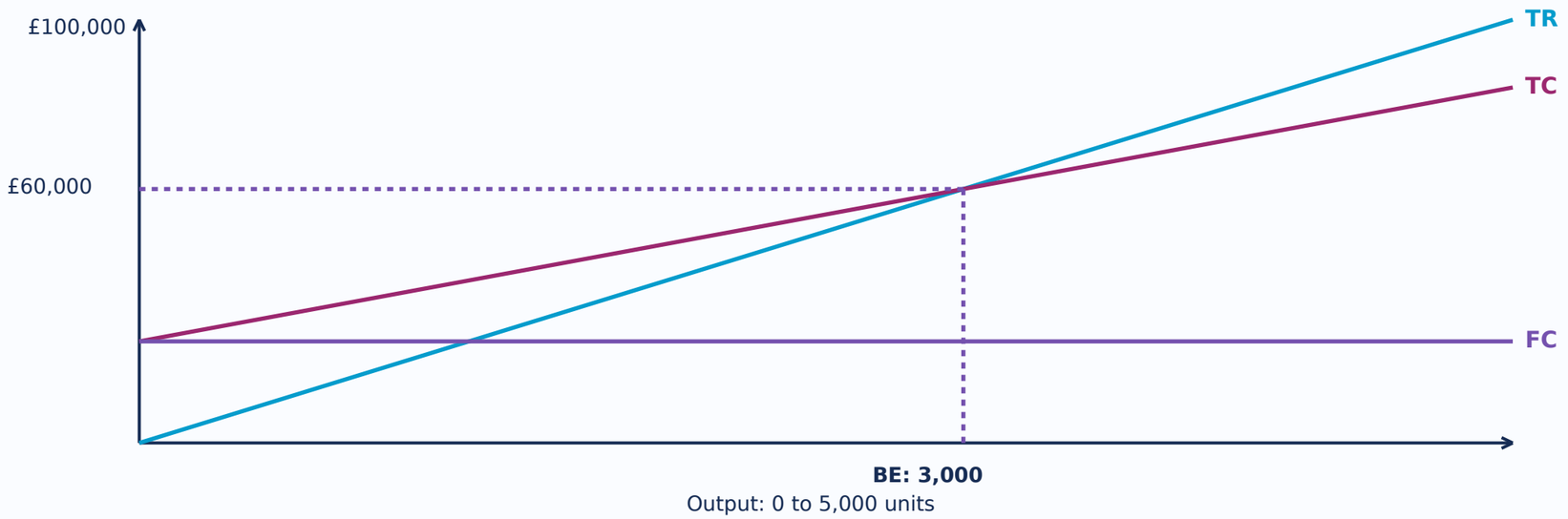
Conditional judgement

A model needs an achievable sales forecast and sufficient cash to fund the operating cycle.

Break-even chart | label and interpret

TR starts at zero; TC starts at fixed cost. Lines use the baseline assumptions.

At break-even: TR = TC = £60,000



Read the graph

TR crosses TC at £60,000 and 3,000 units.

Right of BE: profit gap.
Left of BE: loss gap.

At Q 4,000, TR £80k and TC £72k.

Read the result

The graph shows the relationship between output, money, costs and revenue. A vertical gap measures profit/loss; the horizontal output difference measures MOS.

Benefits / uses

Makes cost structures and alternative output levels visible.

Limitations / risks

A straight line assumes constant unit price/cost within the relevant range.

Conditional judgement

The graph does not prove demand will reach the profitable region.

Break-even sensitivity | compare rather than assume

Each row changes one assumption from the baseline. Forecast volume responds where stated.

Profit = contribution × output - fixed costs

Step / measure	Working / result
Base case	c £8; BE 3,000; Q 4,000; profit £8,000
Price £22; Q falls to 3,000	c £10; BE 2,400; MOS 600; profit £6,000
Unit VC rises to £14	c £6; BE 4,000; MOS 0; profit £0
FC rises to £30,000	BE 3,750; MOS 250; profit £2,000

Read the result

A higher price lowers break-even here but reduces profit when demand falls enough. Judge attainable demand as well as the model target.

Benefits / uses

Finds the assumption that most threatens headroom.

Limitations / risks

One-variable tests omit combined shocks; price changes may change rival behaviour.

Conditional judgement

Use research/PED, capacity and cash needs to choose, not the lowest break-even alone.

Indivisible output | round break-even up

Suppose FC £25,000, price £19 and unit VC £12.

Contribution = £7; £25,000 ÷ £7 = 3,571.4286 units

Step / measure	Working / result
Required whole-unit sales	3,572 units
Check at 3,571	3,571 × £7 - £25,000 = -£3
Check at 3,572	3,572 × £7 - £25,000 = +£4
With Q forecast 4,000	MOS = 4,000 - 3,572 = 428 whole units

Read the result

Rounding to the nearest unit would leave a loss. A discrete product needs the next whole unit to cover all modeled costs.

Benefits / uses

Prevents a misleading break-even recommendation.

Limitations / risks

The result still depends on all units selling at the assumed price.

Conditional judgement

Use appropriate rounding for the question; keep intermediate precision.

Cash-flow forecast | calculate every balance

All values £000. The listed receipts and payments are cash amounts, not accrual-accounting figures.

Net flow = receipts - payments; closing = opening + net flow

Step / measure	Working / result
January	Opening 5; receipts 12; payments 15; net -3; closing 2
February	Opening 2; receipts 18; payments 24; net -6; closing -4
March	Opening -4; receipts 30; payments 20; net +10; closing 6
Facility implication	At least £4k covers this modeled month-end low, before interest or a safety buffer

Read the result

March ends positive but February needs funding. Daily cash may fall lower than month-end figures suggest.

Benefits / uses

Highlights the weakest period and the approximate size of a timing gap.

Limitations / risks

Uncertain customer payment, daily timing and finance charges can worsen the deficit.

Conditional judgement

Arrange a suitable facility before February and test delayed receipts; a positive final balance is insufficient.

Cash timing | credit terms and deposits

A £10k January credit sale is received in March. Materials £4k are paid in January.

Profit and cash use different timing: earning revenue is not receiving cash

Step / measure	Working / result
Sale economics	Revenue £10k; cost £4k; contribution before other costs £6k
January cash effect	Receipt £0; material payment £4k; net -£4k
March cash effect	Customer receipt £10k, assuming paid in full
30% upfront deposit alternative	January receipt £3k; January net -£1k; March remaining £7k

Read the result

The deposit reduces the initial funding gap by £3k without changing the £10k total selling price or the contribution in this simplified example.

Benefits / uses

Negotiated deposits fund part of production and reduce exposure.

Limitations / risks

Demand may fall if customers dislike upfront payment; refunds and non-payment remain risks.

Conditional judgement

Use bargaining power and customer norms; cash improvement should not destroy viable sales.

Budgets | investigate favourable and adverse variances

Convention below: actual - budget. F/A describes profit effect, not merely the sign. All values £000.

Revenue above budget: usually F; expenditure above budget: usually A

Step / measure	Working / result
Revenue	Budget 100; actual 108; difference +8 F
Materials	Budget 40; actual 46; difference +6 A
Other costs	Budget 35; actual 34; difference -1 F
Profit	Budget 25; actual 28; difference +3 F = 8 - 6 + 1

Read the result

Profit exceeds budget by £3k despite adverse material spending. Higher output may explain part of that spending; investigate before attributing inefficiency.

Benefits / uses

Connects deviations to overall profit and corrective action.

Limitations / risks

Static spending comparisons mix volume and price/usage changes.

Conditional judgement

Examine activity, quality and controllability, not only the F/A label.

Profit statement | follow each layer

Illustrative annual income statement, £000. No other income or unusual items.

GP = revenue - COGS; OP = GP - operating expenses; final profit = OP - interest - tax

Step / measure	Working / result
Revenue / cost of sales	200 - 120 = gross profit 80
Operating expenses	80 - 50 = operating profit 30
Finance cost	30 - 4 = profit before tax 26
Tax / final profit	26 - 5.2 = profit for year 20.8

Read the result

An operating profit of £30k becomes £20.8k after financing and tax. Assess the correct profit layer for the question.

Benefits / uses

Locates trading, overhead and financing pressure.

Limitations / risks

Accounting profit does not reveal receipt/payment timing.

Conditional judgement

Compare performance across time and with similar firms, then inspect cash and one-off items.

Profit margins | calculate and interpret

Use the same revenue of £200k for all three margins.

Margin = relevant profit ÷ revenue × 100

Step / measure	Working / result
Gross margin	£80k ÷ £200k × 100 = 40%
Operating margin	£30k ÷ £200k × 100 = 15%
Profit-for-year margin	£20.8k ÷ £200k × 100 = 10.4%
Meaning	Each £1 of sales leaves 40p GP, 15p OP and 10.4p final profit

Read the result

The gap between GP and OP reflects operating expenses. The gap between OP and final profit includes financing and tax in this example.

Benefits / uses

Normalises profits for revenue scale and supports diagnosis.

Limitations / risks

Product mix and accounting differences can limit comparability.

Conditional judgement

A stronger margin can coexist with lower total profit; investigate sales, costs and customer effects.

Margins versus absolute profit | avoid the ranking trap

Second period: revenue £250k, COGS £160k, operating expenses £55k.

Profit amount and profit margin answer different questions

Step / measure	Working / result
Gross profit / margin	250 - 160 = £90k; 90 ÷ 250 × 100 = 36%
Operating profit / margin	90 - 55 = £35k; 35 ÷ 250 × 100 = 14%
Against prior period	GP rises £10k, but gross margin falls 40% to 36%
Operating result	OP rises £5k, but operating margin falls 15% to 14%

Read the result

The firm earns more profit in pounds while keeping less of each sales pound. Gross margin falls 4 percentage points, a 10% relative decline.

Benefits / uses

Reconciles apparently conflicting performance indicators.

Limitations / risks

Two periods alone cannot show whether investment or discounting will pay off later.

Conditional judgement

Judge the quality and sustainability of growth, including working capital and capacity needs.

Financial position | assets, liabilities and equity

Illustrative position at one date, £000. Current assets: inventory 30, receivables 40, cash 10.

Assets = liabilities + equity; working capital = CA - CL

Step / measure	Working / result
Assets	Non-current 120 + current 80 = total 200
Funding	Current liabilities 50 + non-current liabilities 60 + equity 90 = 200
Working capital	80 - 50 = £30k
Cash reality	Only £10k is cash; receivables and inventory require conversion

Read the result

The statement balances, but does not prove £50k current liabilities can all be paid today. Timing and asset quality matter.

Benefits / uses

Shows what resources exist and how they are financed.

Limitations / risks

Book values and a single date can conceal obsolescence or seasonal stress.

Conditional judgement

Read alongside income and cash information, not as a standalone health verdict.

Liquidity ratios | current and acid test

Same position: CA £80k, inventory £30k, CL £50k.

Current ratio = CA ÷ CL; acid test = (CA - inventory) ÷ CL

Step / measure	Working / result
Current ratio	80 ÷ 50 = 1.6:1
Acid test	(80 - 30) ÷ 50 = 1:1
Interpretation	£1.60 current assets per £1 CL; £1 excluding inventory
If £15k receivables become irrecoverable	CA 65: current 1.3:1; acid (65 - 30) ÷ 50 = 0.7:1

Read the result

The original acid test looks stronger than the stressed result. Collection quality can be more important than the headline ratio.

Benefits / uses

Reveals reliance on inventory and sensitivity to asset quality.

Limitations / risks

Receivables are not immediate cash; sector and seasonal norms differ.

Conditional judgement

Check timing, trends, lender access and supplier terms before judging safety.

Liquidity interventions | why ratio direction can mislead

Start CA 80, inventory 30, CL 50, working capital 30 (£000). Independent scenarios.

Improving available cash does not always raise the current ratio

Step / measure	Working / result
Borrow £20k short term	CA 100; CL 70; ratio 1.43; WC 30; more cash but ratio lower
Pay £10k current payable in cash	CA 70; CL 40; ratio 1.75; WC 30; cash lower
Sell £10k inventory at book value for cash	CA 80; CL 50; current 1.6; acid 1.2; no profit assumed
Collect £10k receivable	CA and ratios unchanged; cash rises £10k, receivables fall £10k

Read the result

Cash collection can improve immediate payment ability without changing either headline ratio. Ratio movements need a transaction-level explanation.

Benefits / uses

Prevents recommendations aimed solely at making a number look better.

Limitations / risks

Scenarios assume no fees, taxes or losses; actual terms may change values.

Conditional judgement

Choose actions for sustainable cash and trading performance, not cosmetic ratio improvement.

Productivity | output, quality and cost

All scenarios one month. Baseline 10 staff, 2,000 good units, wages £30k.

Labour productivity = output ÷ labour input in a consistent period

Step / measure	Working / result
Baseline	2,000 ÷ 10 = 200 good units/worker; wage cost £15/unit
New process: 2,400 units, 10% rejects	Good units 2,160; 216/worker, +8%; gross productivity +20%
Wages rise to £33k	£33,000 ÷ 2,160 = £15.28 per good unit
Meaning	Accepted productivity improves, but wage cost per good unit rises

Read the result

A higher productivity measure is not enough to establish lower total average cost. Include quality, other inputs, mix and wellbeing.

Benefits / uses

Identifies wasted effort and opportunities to produce more with the same labour.

Limitations / risks

Outsourcing or more machinery can raise labour productivity without overall efficiency gains.

Conditional judgement

Assess good output and full cost, not gross units alone.

Capacity | utilisation and average fixed cost

Monthly capacity 10,000 units. Fixed cost £40,000. Unit variable cost £6.

CU = actual output ÷ capacity × 100

Step / measure	Working / result
At 6,000 units	CU 60%; AFC £6.67; AC £12.67
At 8,000 units	CU 80%; AFC £5; AC £11
At 10,000 units	CU 100%; AFC £4; AC £10
Capacity expansion trap	If FC rises to £60k but output stays 8,000: AC = £13.50

Read the result

Using existing spare capacity spreads fixed cost. Adding capacity before demand arrives can reverse that benefit.

Benefits / uses

Links capacity decisions to cost and competitiveness.

Limitations / risks

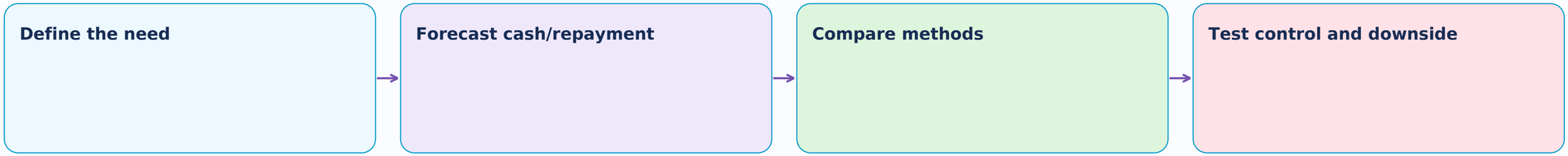
Overtime, maintenance, defects and bottlenecks may raise variable costs near full capacity.

Conditional judgement

Compare long-term demand evidence with flexibility, lead times and service resilience.

Finance selection | match duration, cash and control

A source is the provider; a method is the financing arrangement.



Short-lived timing gap

Overdraft, trade credit or factoring may fit a gap that clears when customers pay.

Long-lived productive asset

Loan, equity, retained funds or lease may fit longer use; compare total cost and cash commitments.

Uncertain startup cash

Equity absorbs loss without scheduled interest, but dilutes ownership. Savings retain control but concentrate risk.

Terms and access

Check security, guarantees, eligibility, fees, repayment schedules, exit demands and restrictions.

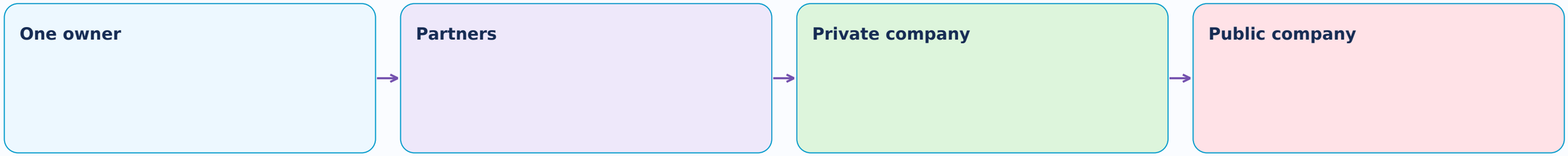
Benefits: Matching reduces refinancing pressure and preserves trading continuity.

Drawbacks: Cheap headline interest can conceal fees, security exposure and inflexible payments.

Judge: Recommend based on purpose, duration, affordability and actual access.

Ownership | separate purpose, channel and legal form

A franchise, social enterprise or online business still needs an appropriate legal structure.



Sole trader / partnership

Direct ownership and usually unlimited liability; personal exposure affects borrowing decisions.

Ltd / PLC

Separate company with limited-liability shareholders; larger funding potential brings disclosure and governance.

Purpose

Social mission or lifestyle goals affect objectives and acceptable growth/control trade-offs.

Channel and system

Online trading describes a channel; franchising describes rights to a brand and operating system.

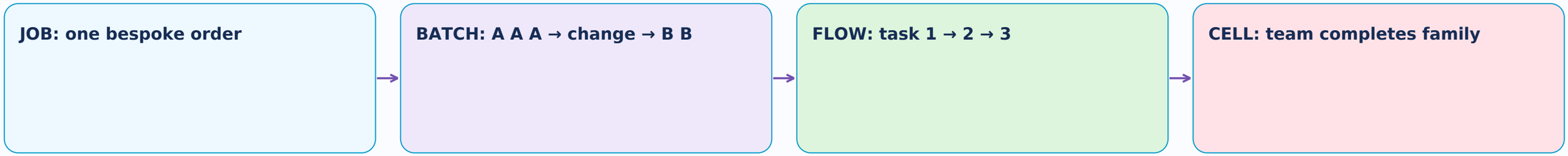
Benefits: Correct classification prevents unsuitable finance recommendations.

Drawbacks: Incorporation does not remove all personal guarantees or operational risk.

Judge: Match the legal form with scale, risk, control and funding.

Production methods | four process sketches

Use the visual distinction to explain cost, flexibility, staff and quality.



Job: customer → specification → skilled build

High variety, low repetition; premium potential depends on valued personalisation.

Batch: prepare → run group → reset

Shared equipment produces varieties; changeovers and stock raise costs.

Flow: sequential dedicated stages

High repetition supports low unit cost; bottlenecks can stop the line.

Cell: grouped skills and equipment

Local coordination and ownership help quality; multi-skilling and layout investment required.

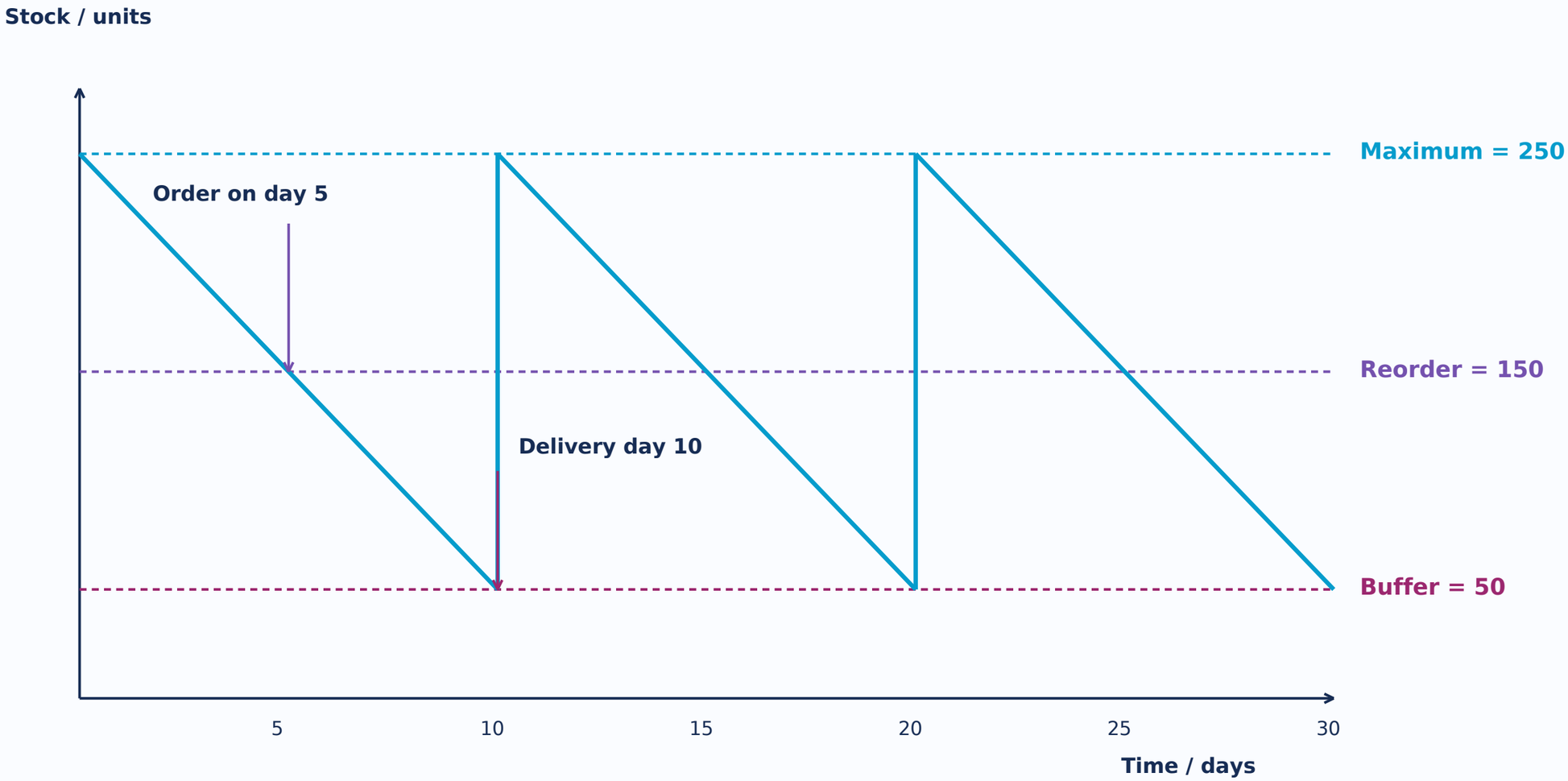
Benefits: Method choice aligns output volume and variety with demand.

Drawbacks: Changing methods requires capital, training and disruption.

Judge: Choose for the demand pattern and customer need, not low cost alone.

Inventory control | annotate the complete diagram

Daily usage 20; normal lead time 5 days; buffer 50; reorder quantity 200.



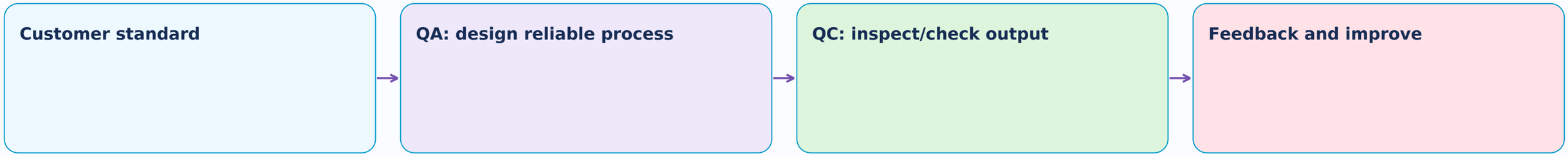
Lead time: day 5 to day 10 = 5 days. Reorder level = 20 × 5 + 50 = 150 units.

Order quantity 200 restores stock from 50 to 250. A delay uses the buffer; demand/lead-time variability may require a different policy.

Trade-off: service continuity and resilience versus cash tied up, storage, spoilage and obsolescence. JIT reduces stock only when the wider supply system is dependable.

Quality systems | detection, prevention and participation

These approaches can reinforce each other rather than being mutually exclusive.



Quality control

Detect defective output; avoid delivering failures, but the defect may already have used material and labour.

Quality assurance

Set reliable processes and responsibilities to prevent errors; requires training, evidence and auditing.

Quality circles and Kaizen

Employee discussion and small repeated improvements draw on frontline expertise; management must act on ideas.

TQM

Quality belongs across departments and suppliers; leadership, customer focus and culture sustain it.

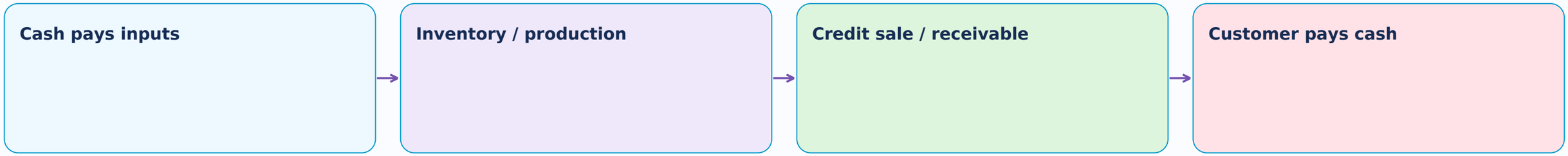
Benefits: Fewer failures reduce rework, returns and reputation damage.

Drawbacks: Training, inspection and change consume time and funds; poorly designed targets invite gaming.

Judge: Choose quality appropriate to customers and measure actual outcomes.

Working capital | the operating cash cycle

Cash tied up during the cycle must be funded before customer receipts arrive.



Longer inventory holding

More funds tied up before sale; obsolescence and storage can increase.

Longer customer credit

May attract sales, but delays receipts and raises default exposure.

Supplier credit

Delays cash payment and can bridge the cycle; pay as agreed to protect relationships.

Overtrading

Rapid sales growth increases input and wage needs before receipts, exhausting available cash.

Benefits: Managing the cycle releases funds and supports sustainable growth.

Drawbacks: Extreme stock/credit cuts may lose customers or stop production.

Judge: Balance liquidity with service, margins and dependable supply.

Exchange rates | imported costs and export receipts

Quote: dollars per pound. Sterling appreciates from $1.20 to $1.50 per £1.

Foreign-currency amount ÷ dollars per pound = pounds

Step / measure	Working / result
$30,000 imported input: before	$30,000 ÷ 1.20 = £25,000
Imported input: after	$30,000 ÷ 1.50 = £20,000; saving £5,000
$60,000 export receipt: before	$60,000 ÷ 1.20 = £50,000
Export receipt: after	$60,000 ÷ 1.50 = £40,000; receipt lower by £10,000

Read the result

Appreciation helps this importer but reduces sterling receipts from a fixed dollar export price. Combined net effect depends on the currency exposure.

Benefits / uses

Distinguishes import cost and export revenue channels.

Limitations / risks

Hedging, contracts, invoicing and changed volumes can alter the result.

Conditional judgement

Consider imported inputs in exports and rival responses; avoid a universal exporter/importer rule.

Interest and inflation | quantify separate channels

Illustrative variable-rate loan £200k; wages rise 3% while consumer prices rise 5%.

Annual interest = loan × rate; real wage change = (1.03 ÷ 1.05 - 1) × 100

Step / measure	Working / result
Loan interest at 5%	£200,000 × 0.05 = £10,000/year
Loan interest at 7%	£200,000 × 0.07 = £14,000/year; increase £4,000
Consumer real wage	(1.03 ÷ 1.05 - 1) × 100 = -1.90% approximately
Business response	Reassess debt cash service and demand, especially credit-financed/discretionary purchases

Read the result

Higher interest affects the firm’s financing and potentially customer demand. Inflation can squeeze both unit margins and real purchasing power.

Benefits / uses

Quantifies distinct exposures rather than saying the economy is bad.

Limitations / risks

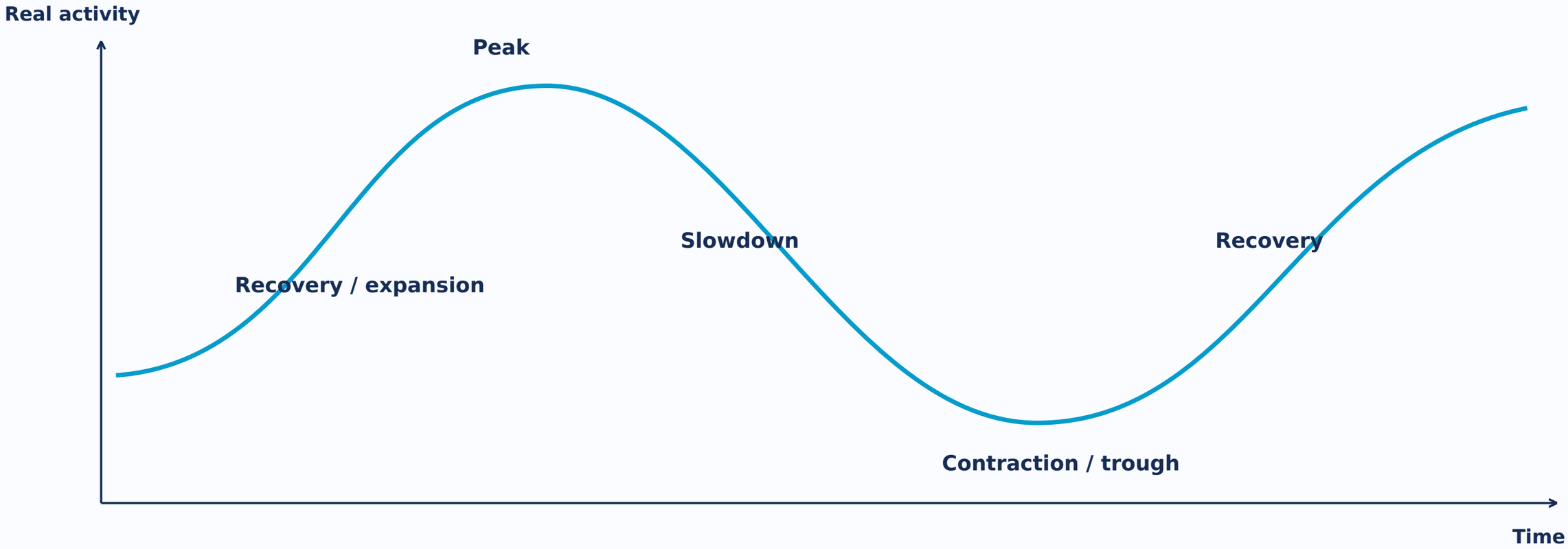
Debt may be fixed rate; customer and input exposures vary.

Conditional judgement

Assess pricing power, debt terms, input sourcing and customer income responsiveness.

Business cycle | demand, resources and responses

Schematic real economic activity over time; not a forecast or fixed timetable.



Expansion

Rising demand and utilisation may improve profit, but labour/input shortages and overtrading can create pressure.

Contraction

Weaker discretionary sales may leave spare capacity. Preserve cash, improve value and review inventory without damaging recovery capability.

Context decides

Budget substitutes may gain. High-YED luxuries are more exposed. Export markets and customer segments may follow different conditions.

Evaluation bank | Choosing external finance

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Cash timing

Match repayments to reliable operating cash; avoid long assets depending on a recallable short facility.

Control

Equity shares future upside and decisions; debt preserves ownership but creates obligations.

Access and security

Collateral and evidence determine availability; an attractive nominal rate is irrelevant if inaccessible.

Scale and speed

Small family funding can be fast but insufficient; a public issue raises scale with preparation cost.

Expertise and strategy

Angels or venture investors add contacts but may demand a growth/exit route that conflicts with founders.

Downside and flexibility

Stress delayed sales, rate increases and refinancing; keep headroom rather than using all funds.

Evaluation bank | Break-even as a decision tool

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Sales feasibility

A low target helps only if customers will buy at the assumed price.

Cost reliability

Bulk discounts, overtime and step-fixed costs change line shapes and thresholds.

Cash timing

Profit break-even cannot fund inputs before receipts; check the cash forecast.

Capacity and people

The target must fit practical capacity, staffing and quality standards.

Product mix

Changing mix alters weighted contribution; a single product model may mislead.

Alternative and time

Compare feasible pricing, sourcing and scale options; update when conditions change.

Evaluation bank | Budgets and cash forecasts

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Coordination

Shared assumptions link purchasing, staffing and demand; inconsistent departmental plans create shortages.

Control and accountability

Variances direct attention but require volume, cause and controllability analysis.

Motivation

Participation improves ownership; unreachable or trivial targets demotivate.

Gaming and short-termism

Padding or use-it-or-lose-it spending can sacrifice longer-term value.

Uncertainty

Customer timing, inflation and shocks weaken estimates; scenarios and rolling review improve response.

Funding consequences

Forecast the lowest balance and cushion; facility fees and daily timing may increase need.

Evaluation bank | Financial performance diagnosis

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Volume versus margin

Sales growth can raise profit pounds while reducing margins; test sustainability.

Working capital

Inventory and credit growth can consume cash despite accounting profit.

Asset quality

Receivables may not pay and obsolete inventory overstates cover.

Comparability

Sector, season, policy and mix affect ratios; use relevant benchmarks and trends.

Behavioural consequence

Short-term cuts can improve ratios but damage skills, maintenance and customers.

Decision focus

Recommend a cause-based response, such as collection or waste reduction, with trade-offs.

Evaluation bank | Automation and production choice

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Cost structure

Automation can lower unit labour use but adds fixed costs and raises demand exposure.

Demand pattern

Standardised stable volume suits flow; uncertain bespoke orders may favour flexible methods.

Quality and reliability

Machines can improve consistency but failures and maintenance can stop throughput.

Skills and culture

Training and redeployment affect adoption; redundancy fears can create resistance.

Cash and implementation

Purchase, setup and ramp-up precede benefit; leasing preserves cash but costs more over time.

Flexibility and obsolescence

Dedicated assets can lock in a process; adaptable cells may respond faster to variety.

Evaluation bank | JIT, buffers and lean

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Working capital

Lower stock releases funds; the value depends on finance cost and alternative use.

Service continuity

Buffers protect against delays; JIT magnifies dependence on reliable suppliers.

Waste and quality

Smaller inventories reduce spoilage and reveal problems; defects can immediately halt flow.

Supplier relationship

Frequent deliveries require coordination, dependable transport and shared information.

Environmental effects

Less storage/waste may help; frequent small deliveries may raise transport impact.

Context and resilience

Critical inputs, long overseas lead times and volatile demand may justify selective buffers.

Evaluation bank | Quality improvement

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Failure costs

Fewer returns and rework save resources, but prevention and checking have costs.

Demand and brand

Consistency builds trust; a premium depends on valued differences and rival quality.

People and ownership

Circles/Kaizen use local knowledge; ignored ideas waste time and demotivate.

Speed and capacity

Right-first-time improves flow; excessive inspection may slow output without prevention.

Supply chain

Good internal systems fail if input quality is unreliable; coordinate supplier standards.

Long-term culture

TQM needs leadership and reinforcement; paperwork alone is not quality.

Evaluation bank | External shocks and competition

Six distinct routes into a developed argument. Select relevant routes and add exact case evidence.

Demand channel

Use income, price and credit sensitivity; different segments react differently.

Cost channel

Distinguish input, wage, import and financing costs; identify fixed/variable exposure.

Pricing and rivals

Passing on costs depends on substitutes, differentiation and competitor response.

Cash resilience

Weak headroom converts temporary shocks into missed payments; plan flexible funding.

Compliance and trust

Regulation costs money but can prevent harm and support fair market confidence.

Small-firm response

Use service, niche and speed where valued; avoid unaffordable imitation of a large rival.

Applied case | Northstar bakery

Independent practice case. Use the evidence across finance, operations and market decisions.

Current position

Northstar sells 4,000 packs/month for £20. Unit variable cost £12; monthly fixed cost £24,000. Practical capacity is 5,000 packs. Receipts are mainly on 30-day credit.

It has £8,000 available cash. A retailer proposes 1,500 extra packs/month at £18, paid after 60 days. The extra work requires overtime: extra units cost £14 each. A £3,000 setup payment is needed immediately.

Choices and constraints

Accepting the order in full would exceed current capacity. Outsourcing is possible but quality has not been tested. A lender offers an overdraft, subject to approval. The owners fear losing existing customers through late delivery.

Alternative: trial 800 extra packs, retaining normal orders. The setup cost remains £3,000. Retailer repeat demand is uncertain.

Practice: calculate baseline BE/MOS; assess the full order; compare the trial; recommend a finance/operations response using numerical and non-numerical evidence.

Do not assume the full order is feasible because total contribution is positive. Include practical capacity, cash timing, service and the one-off versus recurring cost distinction.

Applied case | calculate, then qualify

Use the Northstar case. Calculations below assume all stated units are sold and quality/cost assumptions hold.

Incremental contribution = extra volume × (extra price - extra VC)

Step / measure	Working / result
Full extra order	1,500 × (£18 - £14) = £6,000 contribution; less £3,000 setup = £3,000 first-month increment
Capacity constraint	4,000 + 1,500 = 5,500 against 5,000 capacity; 110% of benchmark
800-pack trial	800 × £4 = £3,200; less setup £3,000 = £200 first-month increment
Trial capacity / cash	4,800 ÷ 5,000 = 96%; additional VC £11,200 + setup £3,000 before delayed receipts

Read the result

The trial fits stated capacity but its £14,200 extra variable/setup payments exceed £8,000 cash before considering timing of other receipts and commitments. A full dated forecast is needed.

Benefits / uses

Quantifies feasibility and first-period reward without ignoring implementation.

Limitations / risks

Overtime, quality, outsourcing, displaced sales and payment timing can change the outcome.

Conditional judgement

A controlled trial plus confirmed working-capital funding may be preferable, conditional on reliable delivery and credible repeat demand.

Applied response | weigh the bakery options

Illustrative reasoning. This is not an official mark scheme or a guaranteed mark.

Argument: trial with funded cash cover

The 800-pack trial uses 96% of practical capacity, so it fits the stated benchmark while testing retailer demand. Its first-period increment is only £200 after setup, but if repeat orders continue without another setup charge, contribution may improve later.

This creates a route to learning without committing to 5,500 units. However, limited headroom means breakdowns or defects could still damage normal customer service.

Counterargument: protect liquidity and quality

The trial needs £14,200 in extra variable/setup payments before the 60-day retailer receipts, compared with £8,000 available cash. The timing of existing receipts and outflows is unknown, so neither the exact deficit nor overdraft size can be concluded.

Borrowing without a reliable cash forecast could turn an apparently profitable order into a payment crisis. Outsourcing also needs a quality check.

Conditional judgement

Prefer the trial only if a dated cash forecast and confirmed finance/deposit cover the lowest balance with headroom, and delivery quality is protected. Liquidity and service carry more weight than the small initial profit because failure to pay suppliers or serve existing buyers threatens the core business.

If the retailer will not support feasible terms, or overtime quality proves unreliable, reject or renegotiate. Compare ongoing contribution after setup against the value of displaced regular orders before scaling.

Retrieval and calculation practice

Attempt closed-book, then check the next page. Show working and attach business meaning.

Task	Prompt
1	Define contribution and explain how it differs from profit.
2	P £30, VC £18, FC £42,000, forecast 5,000: calculate BE, MOS and profit.
3	Cash opening £6k, receipts £19k, payments £28k: closing? What next?
4	Budget revenue £90k/actual £86k; cost budget £60k/actual £54k: profit variance?
5	Revenue £500k, COGS £320k, expenses £100k: GP/OP and their margins?
6	CA £120k, inventory £45k, CL £60k: current, acid and working capital?
7	Output 18,000; capacity 24,000; employees 60: utilisation and productivity?
8	Daily use 40; lead time 6 days; buffer 100: reorder level?
9	$48k input with $1.20/£ then $1.60/£: import cost change?
10	Explain two distinct reasons why higher profit may coexist with weaker cash.

Practice answers | numbers plus meaning

Use these to diagnose the method error; then redo the question without looking.

Task	Answer
1	P - unit VC; total contribution covers fixed costs first, then profit.
2	c £12; BE 3,500; MOS 1,500 = 30%; profit £18,000.
3	6 + 19 - 28 = -£3k. Arrange/renegotiate cash cover before payments fall due.
4	Revenue -4 A; costs -6 F; profit 32 vs 30 = £2k F.
5	GP £180k = 36%; OP £80k = 16%.
6	Current 2:1; acid 1.25:1; WC £60k. Check asset quality and timing.
7	75%; 300 units per employee in the stated period.
8	40 × 6 + 100 = 340 units; order before stock falls to buffer.
9	£40k then £30k: £10k lower import cost as sterling appreciates.
10	More credit sales delay receipts; inventory/capital purchases use cash before benefits. Borrowing also raises cash without profit.

Coverage audit | 2.3.1

All lettered subject-content subparts mapped to detailed teaching cards. Read named bullet detail within each card.

Spec subpart	Teaching coverage	Card page(s)
2.3.1.1a	Business plan content	4
2.3.1.1b	Using and reviewing a plan	4
2.3.1.2a	Owner's savings	5
2.3.1.2b	Retained profit	5
2.3.1.2c	Sale of assets	6
2.3.1.3a	Family, friends and banks / Peer-to-peer and crowdfunding / Angels and other businesses	6, 7, 7
2.3.1.3b	Loans and overdrafts / Share and venture capital / Leasing, trade credit and grants	8, 8, 9
2.3.1.4a	Sole trader and partnership / Private limited company	9, 10
2.3.1.4b	Franchising / Social, lifestyle and online businesses	10, 11
2.3.1.4c	PLC and stock market flotation	11
2.3.1.5a	Limited and unlimited liability	12
2.3.1.5b	Matching finance to ownership	12

Coverage means the content is taught here; students must still demonstrate accurate application, analysis and evaluation in timed responses.

Coverage audit | 2.3.2

All lettered subject-content subparts mapped to detailed teaching cards. Read named bullet detail within each card.

Spec subpart	Teaching coverage	Card page(s)
2.3.2.1a	Sales volume and revenue	14
2.3.2.1b	Fixed, variable, total and average cost	14
2.3.2.1c	Improving sales and revenue	15
2.3.2.2a	Why forecast sales?	15
2.3.2.2b	Forecast drivers	16
2.3.2.2c	Forecast difficulties	16
2.3.2.3a	Contribution	17
2.3.2.3b	Break-even meaning	17
2.3.2.3c	Break-even calculation	18
2.3.2.3d	Margin of safety	18
2.3.2.3e	Reading break-even graphs	19
2.3.2.3f	Limits of break-even	19
2.3.2.4a	Building a cash-flow forecast	20
2.3.2.4b	Using cash forecasts	20
2.3.2.5a	Budget purposes	21
2.3.2.5b	Historical and zero-based budgets	21
2.3.2.5c	Variance analysis	22
2.3.2.5d	Budget difficulties	22

Coverage means the content is taught here; students must still demonstrate accurate application, analysis and evaluation in timed responses.

Coverage audit | 2.3.3

All lettered subject-content subparts mapped to detailed teaching cards. Read named bullet detail within each card.

Spec subpart	Teaching coverage	Card page(s)
2.3.3.1a	Three profit measures	24
2.3.3.1b	Increasing profit	24
2.3.3.1c	Profitability and income statements	25
2.3.3.2a	Profit versus cash	25
2.3.3.2b	Position statement and liquidity / Improving liquidity	26, 26
2.3.3.2c	Working capital and cash cycle	27
2.3.3.3a	Internal business failure	27
2.3.3.3b	External business failure	28

Coverage means the content is taught here; students must still demonstrate accurate application, analysis and evaluation in timed responses.

Coverage audit | 2.3.4

All lettered subject-content subparts mapped to detailed teaching cards. Read named bullet detail within each card.

Spec subpart	Teaching coverage	Card page(s)
2.3.4.1a	Job production / Batch production / Flow and cell production	30, 30, 31
2.3.4.1b	Productivity	31
2.3.4.1c	Efficiency	32
2.3.4.1d	Labour versus capital intensity	32
2.3.4.1e	Short lead-in times	33
2.3.4.2a	Capacity utilisation	33
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2.3.4.2c	Managing utilisation	34
2.3.4.3a	Reading inventory diagrams	35
2.3.4.3b	Buffer inventory	35
2.3.4.3c	Poor inventory control	36
2.3.4.3d	Just in time	36
2.3.4.3e	Waste minimisation	37
2.3.4.3f	Lean competitive advantage	37
2.3.4.4a	QC, QA and quality circles	38
2.3.4.4b	Total quality management	38
2.3.4.4c	Kaizen	39
2.3.4.4d	Quality as advantage	39

Coverage means the content is taught here; students must still demonstrate accurate application, analysis and evaluation in timed responses.

Coverage audit | 2.3.5

All lettered subject-content subparts mapped to detailed teaching cards. Read named bullet detail within each card.

Spec subpart	Teaching coverage	Card page(s)
2.3.5.1a	Inflation / Exchange rates / Interest rates / Taxation and government spending / Business cycle	41, 41, 42, 42, 43
2.3.5.2a	Consumer and employee protection / Environmental, competition and safety rules / Intellectual property	43, 44, 44
2.3.5.3a	Competitor numbers, size and behaviour	45
2.3.5.3b	How small firms compete	45

Coverage means the content is taught here; students must still demonstrate accurate application, analysis and evaluation in timed responses.

Validation and source notes

Full Unit 2 subject-content check, plus relevant numerical and examination skills.

Coverage result

60 / 60 lettered subject-content subparts across 2.3.1-2.3.5 are mapped in the audit.

Named examples and bullets are developed within cards: all specified finance sources/methods, ownership forms, production methods, liquidity remedies, failure causes and external influences.

Worked labs and visual walkthroughs deepen the quantitative and operational topics.

Grade A readiness

The resource supports accurate definitions, calculations, interpretation, broad relevant arguments and conditional judgement.

Grade A requires case-specific performance under examination conditions. Use actual extracts, past questions and feedback to assess readiness.

Unit 2 is an IAS unit: the unit grade scale ends at A. Higher-level reasoning supports progression to the full IAL.

Primary source: Pearson Edexcel International Advanced Subsidiary/Advanced Level Business Specification, Issue 1, September 2017; first teaching September 2018. Unit 2 printed pp20-25; quantitative skills Appendix 7; accounting terms/formulas Appendices 8-9.

Open the official Pearson specification

Checked 9 November 2026. This independent teaching resource is not endorsed by Pearson. All case figures are illustrative, not predictions. Laws vary by jurisdiction; the legislation section teaches business impacts rather than giving legal advice.

Unit 3 techniques such as CPA, decision trees, NPV, gearing and ROCE are not presented as named Unit 2 requirements. Unit 1 demand, elasticity and marketing links are integrated where relevant to Unit 2 decisions.